

CITATION: Valdez v. Clarke, 2010 ONSC 174

COURT FILE NO.: 04-12522

DATE: 2010/01/06

ONTARIO

SUPERIOR COURT OF JUSTICE

B E T W E E N:

JORGE VALDEZ

Plaintiff

- and -

ODETTE CLARKE and THE
CITADEL GENERAL ASSURANCE
COMPANY

Defendants

DON MORRIS

Counsel for the Plaintiff,

R. K. McCARTNEY

Counsel for the Defendants

HEARD: TRIAL-September 8, 9, 10,
11, 14, 15, 16, 17, 18, 21, 22, 23, 24
25, 2009 Hamilton

MILANETTI J.

REASONS FOR JUDGMENT-THRESHOLD

[1] The Defendant brings this threshold motion after a three week trial before a jury. The jury in its verdict, awarded the Plaintiff the sum of \$25,000 in General Damages for the pain

and suffering resultant of motor vehicle accidents which occurred on May 15, 2003, October 3, 2003 and May 17, 2004.

[2] The sum awarded was apportioned at 75% responsibility of the second motor vehicle accident of October 3, 2007 and 25% the responsibility of the third motor vehicle accident on May 17, 2004.

[3] The trial derived from the October 3, 2003 accident alone as the May 17, 2004 accident settled on the eve of the trial commencing. In the earlier accident in May 2003, Mr. Valdez was the at-fault driver.

[4] Given the overlapping nature of Mr. Valdez's injuries, and the timing of the three motor vehicle accidents, the jury were asked to assess the global damages and then to apportion responsibility.

[5] As indicated, the jury adjudged that 75% of Mr. Valdez's general damages flowed from the 2nd motor vehicle accident, 25% from the 3rd motor vehicle accident and 0% from the 1st motor vehicle accident. They also found the plaintiff to be 25% contributorily negligent for the injuries he sustained in the 2nd motor vehicle accident.

[6] Over and above, the Plaintiff sought damages for his past and future wage loss. The jury awarded zero under each of these heads of damage.

[7] As a result of the foregoing and in view of the \$30,000 deductible under *Bill 198* regime, the Plaintiff will effectively be barred from any financial recovery.

[8] I asked counsel, at the opening of argument, what the point of the exercise was. Both urged me to make a decision given the paucity of *Bill 198* law on threshold thus far.

[9] It would be simple to merely allow the threshold motion based on the jury's verdict. As is always the case with a threshold determination, the judge is in the odd spot of potentially coming to a different conclusion than did the jury on the respective fact finding quests. This situation has persisted since the threshold came into play. Different judges have taken different positions on whether or not they are bound by the jury's decision.

[10] The Court of Appeal in *Kasap v. MacCallum*, [2001] O.J. No. 1719 and again in *Sampson v. Hertz Corp.*, [2002] No. 4879 have indicated that while a judge is entitled to take a jury's verdict into consideration; she is not bound by it. *Kassap* in fact states that:

at its highest, the verdict of the jury is a factor for the judge to consider (page 2/3).

It goes further to state:

The Legislature has left it to Judges to determine whether the threshold has been met. This will often overlap a jury's considerations; and particularly where the symptoms are subjective.

Nowhere does the legislature say that the Judge is bound to consider the jury verdict much less that the Judge is bound by any implied finding of credibility of the jury. By the same token the legislation does not suggest that a Trial Judge cannot, in the exercise of judicial discretion, consider the verdict of the jury. The legislation is clear: the Judge must decide the threshold motion, and in doing so, the Judge is not bound by the verdict of the jury. The timing of the hearing is in the discretion of the Trial judge.

PAIN AND SUFFERING

[11] I heard only from witnesses for the Plaintiff on the issue on damages.

[12] The Plaintiff called Mr. Valdez (who was on the witness stand for four days); his wife Rosemary; daughter Graciella; Juleo Danielle Gargallo (a friend of 20 years), his two family doctors Murray and Muhsen, psychologist Dr. Baxter; neurologists Dr. Goodwin and Dr. McComas and physiatrist Dr. Kumbhare.¹

[13] Of the medical witnesses, it was clear that Mr. Valdez was referred to Dr. Kumbhare and Dr. McComas by his lawyer. The balance of the physicians were “treaters”.

[14] The evidence of all of the medical witnesses was that Mr. Valdez had been left with chronic pain. This was described as a “chronic pain syndrome” by Drs. Muhsen, Baxter, Goodwin and Kumbhare. I heard no diagnosis to the contrary.

[15] Although I learned that a defence medical was done by Dr. Berry, he was not called and no report was filed.

[16] I heard evidence of soft tissue injuries to Mr. Valdez’s neck, back, headaches, as well as numbness and tingling sensation in his right thumb and fingers. The neurologists - Drs. McComas (in particular, and Dr. Goodwin to a lesser degree), spoke of nerve root injuries to C6/C8 and T1 on the right and to a lesser extent to C8 on the left side.

¹ Mr. Valdez changed family doctors to Dr. Muhsen in December 2003 as he moved to from St. Catharines to Stoney Creek sometime earlier.

[17] Much attention was paid to establishing these objective signs, in my view to suggest that the complaints were not merely subjective and thus less reliant on the self reporting and therefore, the credibility of Mr. Valdez.

[18] There is no doubt that at the end of the day Mr. Valdez's biggest complaint is "pain, pain, pain" as Dr. Goodwin puts it. Dr. Goodwin goes so far as to say that the neurological findings are somewhat incidental, as it is not the numbness and tingling that trouble Mr. Valdez so much as his pain. Drs. Goodwin, McComas and Kumbhare attribute this pain to the nerve damage caused by the stretching injury to Mr. Valdez's neck when his vehicle was hit and spun 180 degrees in the October 3 accident. Drs. Goodwin and Kumbhare explained the likely movements of the neck and head as a result of such a maneuver.

[19] Defence counsel was well prepared and thorough. He had served dozens of subpoenas and was provided numerous notes and records detailing the medical history of this 53 year old gentleman. Mr. Valdez, like most of us, had some baggage. Some visits at doctors and chiropractors for low back pain and an old history of sciatica (for which he received injections at the age of 16 in his home country of Argentina). I also heard of neurological complaints similar to those of which he currently complains – numbness and tingling in the right fingers and thumb. He was in fact diagnosed with a mild carpal tunnel syndrome in 1998.

[20] All of that being said, I did not form a picture of a man with any ongoing chronic issues – despite reference to a phone note in his family doctor's file which indicated "chronic back pain". Dr. Murray was asked about this in cross-examination and said that his nurse filled this slip out, she had labeled his problem thus.

[21] Mr. Valdez was tripped up a number of times; not remembering some historical chart entries, but I found those to be isolated, largely old and not indicative of ongoing concerns. At the end of the day, I did not feel that Mr. Valdez's credibility was substantially diminished.

[22] So too, when faced with contradictory evidence from two prior examinations for discovery (one for each of the accidents that had gone on to litigation), he nicely conceded that those earlier answers were likely more accurate as they were closer in time to the accident. That is not to say that he always handled himself perfectly; he did not.

[23] That being said, on balance, I found him to be a credible individual. While his doctors did not doubt him either, I recognize that patients are often given the benefit of the doubt by their treating medical professionals. That being said, I did not find these doctors lacked objectivity. They came across to me as the professionals they were. Of interest, as well, Dr. Baxter's psychological testing included a validity scale (which I heard was designed to identify such as exaggeration/embellishment for instance). That scale showed that in fact Mr. Valdez tended to play down his issues rather than exaggerate them.

[24] It seems clear to me that the jury did not accept Mr. Valdez's version of events, or at least, did not have tremendous sympathy for him. It could be inferred that they did not find him to be credible. We will never know their rationale.

[25] That being said, I found him to be credible and I accept that he suffered a chronic pain syndrome as a result of these motor vehicle accidents.

[26] It is my view that the evidence established that the lion's share of these damages were as a result of the October 3, 2003 motor vehicle accident. Defence counsel was understandably skeptical of Mr. Valdez's claim that he sustained no injury in his arguably more significant (in terms of property damage) earlier at-fault motor vehicle accident in May 2003. I understand this position but must point out that the evidence revealed that Mr. Valdez missed no time from work and sought no medical attention following that accident. In my view, such evidence supports his position that he was not injured in this accident.

[27] It would appear that Mr. Valdez re-injured his back and neck in the 3rd motor vehicle accident of May 2004. The injuries were thus overlapping. As such, it is tough to tease them out, one from the other. As such, we must look to the medical evidence.

[28] Mr. Valdez's doctors clearly attribute his current state to the October 2003 accident. This clearly **was their evidence** throughout, (despite the fact that litigation also attached to the May 2004 accident and therefore there was no reason to focus the attention on this accident as the root cause). A more cynical view might suggest that all of evidence was tailored to fit the new trial scenario (where only one motor vehicle was being litigated), but I find that to be too much of a stretch given the number of **professional witnesses, their undiminished credibility at trial, and perhaps most pointedly, the lack of any cross examination directed at medical reports that were inconsistent with their viva voce evidence on the issue of causation.**

EMPLOYMENT STATUS

[29] The pieces of the puzzle I had greater difficulty with (as did the jury quite obviously) were the claims for lost wages, past and future. The jury was asked to compensate Mr. Valdez (past and future) for the loss of the production supervisor's job at Arvin Meritor.

[30] Mr. Valdez missed 6 months from this job; returning to full-time unmodified duties in April 2004; weeks before the third accident. Upon return, he felt that he was castigated by his peers there; no one seemed at all sympathetic to his problems.

[31] Mr. Valdez said that he had some relief when assigned to the newly established night shift as this work was easier and he was the only supervisor; the men on the floor helped him more frequently.

[32] Mr. Valdez maintained this work (missing 15 non-consecutive days after the May 17, 2004 accident) until he was laid off indefinitely by his employer in March 2005. He was given 13 weeks' severance. I do not find that the loss of this job, on the evidence presented to be the result of these accidents. Rather, it seems to be the result of Mr. Valdez's low seniority, economic down turn, and perhaps the Canadian dollar.

[33] In any event, Mr. Valdez's numerous attempts to find other work in his field (as a production supervisor) did not bear fruit. As such, weeks before his severance ran out, Mr. Valdez obtained work as a long haul truck driver for an employer from many years prior, Ontario New England. He began this work on a full-time basis in 2005 and has maintained it to date. As such, when Mr. Valdez could not find work in his field, he went back to the only other work he had known, truck driving.

[34] Defence counsel conducted an elaborate cross-examination of Mr. Valdez as to his trucking duties, taking him painstakingly through the daily inspection requirements of a long haul truck driver. That evidence served in my mind, to cement the position that the job taken by Mr. Valdez to replace the job he had been in at the time of this accident (and lost for reasons unrelated to it) was more physical in nature than the previous one had been. Mr. Valdez, in fact, agreed that this was the case.

[35] It is clear that Mr. Valdez is able to maintain full-time employment; work which he conceded was more physical in nature than the work he had before the motor vehicle accidents. I do note however, that a considerable amount of his time is spent driving; something Dr. Goodwin did not think was a good choice for someone with a bad neck, even on what Mr. Valdez describes as a seat with three levels of air suspension.

[36] This pattern of consistent full time work may well mitigate against a threshold claim, but it is clear to me that Mr. Valdez's quality of life has been significantly affected by his injuries. It is clear that he has continued to work, but at the end of the day, it seems he is able to do little else. I heard from his wife, daughter and Mr. Gargallo about the many differences in Mr. Valdez as a result of his injuries, and the difficulties he had with his activities of daily living. Moreover, the loss of the part time cleaning business he had the time of this accident is another factor for my consideration in this threshold decision.

CLEANING BUSINESS

[37] At the time of this accident, Mr. Valdez and his wife were also operating a part-time cleaning company. In this capacity they acted as subcontractors who cleaned the courthouse and the MTO offices for 4 hours per day from Monday to Friday. The couple had had been doing this additional work for approximately 1 ½ to 2 years at the time of the 2nd motor vehicle accident in October 2003. The couple is no longer running this business. It was the evidence of Mr. Valdez that there had been complaints about their work post the accident as Mrs. Valdez alone had been trying on her own to do the work that she and her husband had done previously.

[38] While the loss of this business could be cast as unrelated to the accidents (as the contractor for whom they worked for previously lost the contract) as Mrs. Valdez managed to work for the successor contractor (Unnico) for approximately two months, it seems they may have been able to maintain this business but for Mr. Valdez's accidents and injuries. It was Mrs. Valdez's evidence that she started to work for the new cleaning company but was unable to keep up. There were too many complaints, Mr. Valdez was not doing it; Mrs. Valdez simply could not keep up on her own.

[39] Moreover, I heard from Mrs. Valdez and friend Mr. Gargalo that he (Mr. Gargalo) had offered Mr. Valdez similar work cleaning at the airport about 5 years ago, but Mr. Valdez said he could not do it as he had problems with his back that made it too hard for him. (I note Mr. Gargalo was the individual who initially recommended the Valdez's to the contractor who had the contract to clean the court house and the MTO offices.)

THE LEGISLATION

[40] Section 4 through 4.3 of Ontario Regulation 381/03 (Bill 198) defines a permanent serious impairment of an important physical, mental, or psychological function in quite precise terms. It is my view (as it was in an earlier decision on this legislation), that the legislation has attempted to tighten up the threshold by more precisely defining its components. I see this as a change from the former versions. It appears to me that legislators have tried to reduce the discretion available to judges in interpreting the various components of the definition.

[41] As well, it has very specifically articulated the type of evidence required to establish the nature and permanency of the impairment; the specific function impaired, and the importance of this function to the individual.

[42] This most specific definition and the evidentiary requirements accompanying it must also be read in the context of the increased monetary deductible for less significant injuries and the elimination of the deductible entirely for more serious injuries (those over \$100,000). All of these steps signal to me that the legislators view the threshold as “alive and well”; their intent is to ensure adequate compensation to those with serious injuries, while eliminating those with more minor problems. All of these changes must of course must be read in the context of increased accident benefits to all accident victims, regardless of fault.

[43] In the case before me, the Defendant argues that the Plaintiff does not satisfy the threshold primarily as he has managed to maintain full time work, of a more physical nature, since his return to work six months after this motor vehicle accident. I understand and appreciate this position. Such, must however, be read from the same context that presented in the *Sherman* case.

[44] In that case, I was faced with a young woman who managed not only to resume her previous employ within weeks of the motor vehicle accident, but also managed to pick up an additional job (albeit with quite flexible physical requirements) working out of her home after the accident. As such, she was doing more than her usual employ within months of the accident. Ms. Sherman maintained such regime for more than three years, when, of her own volition, she cut back the hours of her primary employment by 25%, (from 4 full days as a medical receptionist) to 2 full days and 2 one-half days). Moreover, Ms. Sherman continued to be socially active continuing her pre-accident activities such as camping (in tents) in summers each year post-accident.

[45] When I took an aerial review of Ms. Sherman's life, I had difficulty seeing how she could fit within the threshold definition.

[46] In Mr. Valdez's case, I heard that he returned to his previous employment on a full time, unmodified basis about 6 months post-accident. The only 'modification' I heard of was his fortuitous shift to working nights where he had greater flexibility to lay down intermittently due to a lighter workload and more helpful colleagues on the plant floor. This was, however, not a modification sought as a result of his motor vehicle accident injuries, but merely a lucky result of the addition of a night shift. This type of change is not, in my view, of the sort that the legislation intended when it said the impairment must:

4.2(1)

1. The impairment must,

i. substantially interfere with the person's ability to continue his or her regular or usual employment, **despite reasonable efforts to accommodate the person's impairment and the person's reasonable efforts to use the accommodation to allow the person to continue employment, (my emphasis)**

[47] As indicated earlier, Mr. Valdez managed to maintain this full time job until he was laid off for reasons which I accept are unrelated to his motor vehicle accident approximately one year after his return to work.

[48] Mr. Valdez then made the decision (when unable to find similar work in his field elsewhere), to return to an earlier career as long haul truck driver. It was clear to me from the evidence that at least part of this job (the daily inspection) was more physical in nature than Mr. Valdez's former work as a production supervisor at Arvin Meritor.

[49] As a result, if this were the only aspect of Mr. Valdez's case to be considered in connection with the threshold decision to be made, he would not, in my view, meet the threshold, regardless of whether or not he had 'chronic pain'.

[50] It is not the only aspect, however. In this case, while Mr. Valdez managed to return to his primary job at Arvin Meritor (and then to full time work as a long haul truck driver), he was not able to resume his part time work operating the cleaning business he and his wife had started up about 1 ½ to 2 years before the accident. This had clearly been secondary employment for him; but a small business he had hoped to grow.

[51] While defence counsel attempted to show that the loss of this secondary position was the result of the loss of the cleaning contract (cleaning the courthouse and the MTO building), by the contractor who sub-contracted work to the Valdez's, such was not borne out by the

evidence. Mrs. Valdez, specifically, testifies that when the main contractor lost the contract, she was hired on by the replacement contractor, Unnico, for a couple of months. She could not maintain this work on her own; it was too much for her to do without her husband – they had completed the required jobs previously as a team. As well, Mrs. Valdez had to be taught how to handle the books for this business, something Mr. Valdez had taken care of previously. As I understand it, he never returned to that responsibility. Mrs. Valdez also assumes responsibility for the paperwork in connection with his trucking business.

[52] Mr. Gargalo as well, testified that he offered Mr. Valdez other cleaning work at the airport; work Mr. Valdez turned down as he was not able to do the work as a result of his back problems.

[53] It is clear to me that this was part of Mr. Valdez's usual and regular employment at the time of this accident. His ability to continue and maintain same, I find, was substantially interfered with as a result of his accident related injuries.

[54] Moreover, to establish permanent and serious impairment of an important physical, mental or psychological function, s. 4.2(1) says the impairment must **either** (my word):

i. **substantially interfere with the person's ability to continue his or her regular or usual employment**, despite reasonable efforts to accommodate the person's impairment and the person's reasonable efforts to use the accommodation to allow the person to continue employment, **(my emphasis)**

ii substantially interfere with the person's ability to continue training for a career in a field in which the person was being trained before the incident, despite reasonable efforts to accommodate the person's impairment and the person's reasonable efforts to use the accommodation to allow the person to continue his or her training, **or (my emphasis)**

iii substantially interfere **with most of the usual activities of daily living, considering the person's age.**

[55] It is clear to me that any of the 3 substantial interferences as noted above will suffice given the comas between each of the subsections and most particularly, the interjection of the **“OR”** at the end of 4.2(1)1(ii). If the legislation had intended that all subsections had to be met, it would have said **“AND”**.

[56] As well, in Mr. Valdez's case, I heard significant evidence about the affect his injuries have had on his usual activities of daily living.

[57] As indicated elsewhere previously, I do not feel the new legislation has made prior case law irrelevant. In Mr. Valdez's case, the Court of Appeal decision in *Brak v. Walsh* (2008) ONCA 221 (CanLII) which adopts the definition of 'serious' set by the same court in *May v. Casola* (1998) O.J. No. 2475 (CA) are of relevance. In Mr. Valdez's case, I find that the evidence establishes both interference with his regular and usual employment (given his forfeit of the part time cleaning job he'd held for sometime before this accident), **and** his usual activities of daily living.

[58] In terms of the cleaning company, it was argued that Mr. Valdez could not have maintained such part time employment anyway given his new career as a long haul trucker (and the travel/hours away from home this entails). While this might be a sensible inference to draw, note that Mr. Valdez never really resumed this part time work after the October 2003 accident despite the fact that he did return to his full time work at Arvin Merritor in April 2004 and

remained there until he was let go about 1 year later. He did not begin working as a trucker until July 2005. I thus was persuaded on the evidence that but for his accident related injuries, Mr. Valdez and his wife could have maintained and sustained the cleaning contract (offered and accepted by Mrs. Valdez alone) extended by Unnico; the contractor who took over as the primary contractor for the courthouse. As such, I find that Mr. Valdez's impairment of function substantially interfered with his ability to carry on with his regular and usual employment.

[59] Over and above, I heard evidence from the experts as well as the lay people in Mr. Valdez's life about his limitations post-accident. I accept that while he has managed to maintain full time employment, his activities of daily living and certainly his enjoyment of life have been severely compromised.

[60] I heard and accept that he has virtually given up two of his former passions – cooking and photography. I heard from Mr. Valdez, his wife Rosemary, daughter Grace and Julio Gargalo that Mr. Valdez no longer cooks – he used to love to cook and Rosemary did not, so he did most of the cooking. She now does virtually all of the cooking.

[61] I further heard that Mr. Valdez had previously been quite socially active- he does virtually nothing anymore aside from his job. His family told of the many changes in their father and husband post-accident. Most telling in my view, was the comment by his long time friend (of 25 years) Julio Gargalo, that while they **previously socialized up to 20 times per year**, he now sees Jorge seldom. Mr. Gargalo in fact said he had to convince Mr. Valdez to attend his daughter's wedding as he was most resistant to do so. This example painted a dramatic

picture of Mr. Valdez's current approach to socializing; an approach which I accept is much different than the man who regularly socialized with friends and family prior to the accident.

[62] As well, Mr. Valdez used to be active in sports with his son Stephen; he is not any longer. He no longer goes for walks, dancing or on outings to such places as Algonquin Park. I heard from daughter Graciella that Mr. Valdez is no longer the "fun loving" dad he used to be – he used to play with her children and swing them around. All he can do now is sit and talk with them.

[63] Rosemary also testified that her husband now will sometimes ask her to put his socks on. He no longer does grocery shopping with his wife as the stopping and starting have become difficult for him.

[64] The lay witnesses and family doctor spoke of Mr. Valdez's irritability, impatience, and short temper that had not existed prior to the accident.

[65] Mr. Valdez also spoke with sadness about the difficulty his son Stephen (10 years old at the time of the accident) had understanding why his dad no longer participated actively with him after the accident. Mr. Valdez said emotionally that his relationship with Stephen suffered a lot as Steve needed his father to be a friend/ play with him and he (Mr.Valdez) could not do that any longer. He testified that Stephen stopped coming to visit him every other weekend (as he had previously) saying that he didn't love his dad anymore. I heard that the relationship has improved as Stephen now understands his father's problem and is aware that they need to do other things together.

[66] While defence counsel inferred that these changes in social life might be due to the break down of his long standing marriage and then re-marriage to Rosemary, this inference was squarely refuted by all of the witnesses called.

[67] All of the medical experts describe Mr. Valdez's current health and criteria set out in s. 4.3 (1-4). This too was a distinguishing feature between this case and *Sherman*, something I suspect has to do with increasing familiarity (by both the legal and medical professionals) with the specific requirements of this new legislation.

CONCLUSION

[68] In short, I accept that as in *Brak*, Mr. Valdez's pain seriously affects his "enjoyment of life, ability to socialize with others....enjoy their children and engage in recreational pursuits".

[69] When I consider both the ongoing loss of Mr. Valdez's secondary employment and his diminished level of social and recreational activity, I find that he has successfully established that his injuries satisfy the *Bill 198* threshold.

[70] In short, the Defendant's motion fails.

[71] If the parties are unable to resolve costs, I would be happy to schedule time to address the costs of this motion and the trial proper at a date to be fixed with the Trial Co-Ordinator in Hamilton.

Milanetti J.

Released: January 6, 2010

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Plaintiff

- and -

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**REASONS FOR JUDGMENT
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MILANETTI J.

Released: January 6, 2010